

**KERNOCHAN CENTER FOR LAW, MEDIA AND THE ARTS
COLUMBIA LAW SCHOOL**

**BEFORE THE
U.S. COPYRIGHT OFFICE**

Section 1201 Study

Docket No. 2015-8

**Comments of the Kernochan Center for Law, Media and the Arts
Columbia Law School**

Introduction

The Kernochan Center for Law, Media and the Arts appreciates the opportunity to respond to the Notice of Inquiry concerning the study of Section 1201 published by the U.S. Copyright Office, 80 Fed. Reg. 81,369-73 (Dec. 29, 2015).¹

The Kernochan Center for Law, Media, and the Arts at Columbia Law School is one of the leading centers for intellectual property research in the United States. Its faculty and staff dedicate their research and writing to copyright, trademarks, and related areas as they concern traditional and emerging media, entertainment and the arts. The Center offers students an in-depth program of instruction, lectures, internships and externships while providing symposia, lectures, research studies and publications to the broader legal community. Founded as the Center for Law and the Arts, it was renamed in 1999 to honor Professor John M. Kernochan, its founder and a pioneer in teaching copyright in American law schools.

Section 1201 of Title 17 was passed with the goal of encouraging content producers to release their content on the internet, and to develop new distribution methods, such as providing different price points for different levels of consumption. Given the vast range of content now available on the internet, it's easy to forget how rudimentary such content offerings were in the early 1990s when protection for technological protection measures was initially proposed.

¹ Research assistance from Neal Burstyn, Columbia Law School ('16), is gratefully acknowledged.

As we discuss in our response to Question 1, below, section 1201 has been highly effective. Experience in the years since passage of the DMCA suggests that while certain changes to the law may be warranted, such changes should be carefully considered and incremental in nature, lest we undermine the positive effects that the statute has had.

1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).

Section 1201 (a) has provided content owners with confidence that technological protection for copyrighted works can be reasonably effective, and encouraged them to experiment with various means of content distribution in the digital environment. New forms of distribution reliant on technological protection measures include sales of DVDs and Blu-Ray Discs; on demand access to sound recordings (Spotify, for example, offers free access based on an advertising model, and paid subscriptions that provide on demand access without advertising); on demand digital downloads and on demand streaming of television programs and movies, individually and through subscription models; live streaming of performances; availability of books, music, television, movies and other content by means of mobile telephone and tablet computers, and so on.

Many more examples are provided in the comments submitted by the Copyright Alliance in this proceeding, as well as in testimony to Congress in its September 17, 2014 hearing on chapter 12 of Title 17. In those hearings, Jonathan Zuck, president of ACT | The App Association maintained that the DMCA created an environment that contributed to “explosive growth in technological innovations and content delivery options.” He pointed to iTunes, Hulu and Spotify, as well as numerous apps that can be made available to consumers with little risk that they will contain viruses or malware.² Christian Genetski of the Entertainment Software Association stated that section 1201’s anti-circumvention provisions successfully provided incentives to the videogame industry to expand consumer choices by “exponentially growing the universe of authorized uses across multiple platforms with increased flexibility and at a wider range of price points.”³

² Chapter 12 of Title 17: Hearing Before the Subcomm. on Courts, Intellectual Property, and the Internet of the H. Comm. on the Judiciary, 113th Cong. 21 (2014) (testimony of Jonathan Zuck).

³ *Id.* at 28 (testimony of Christian Genetski).

2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

Congress was aware of interoperability concerns when it passed the DMCA (see 17 U.S.C. § 1201 (f) re reverse engineering), but it is unlikely that it anticipated the vast range of products now governed by computer programs or the potential for products manufacturers to use the DMCA to control the markets for replacement parts or repair services. The courts have thus far rejected such attempts, see, e.g., *Lexmark v. Static Control Components*, 387 F.3d 522 (6th Cir. 2004) (re printer cartridges) and *Chamberlain v. Skylink*, 381 F.3d 1178 (Fed. Cir. 2004) (re garage door openers). While the results of these cases surely comport with Congressional intent – it seems clear from the history of the DMCA that Congress meant to protect expressive works of authorship, not markets for functional products or replacement parts – the reasoning of these cases is somewhat strained, as the law provides no express exemption for circumvention of access controls for these purposes.

In the most recent rulemaking proceeding, the Copyright Office was presented with a number of requests for exemptions to circumvent technological controls to access software that protects various consumer products, in order to create replacement parts or diagnose and repair problems. The Office granted exemptions to, among other things, circumvent technological access controls on 3D printers to allow use of alternative feedstock,⁴ and circumvent technological access controls on motorized land vehicles where necessary to allow diagnosis, repair and lawful modification of a vehicle function.⁵

⁴ The exemption reads:

Computer programs that operate 3D printers that employ microchip-reliant technological measures to limit the use of feedstock, when circumvention is accomplished solely for the purpose of using alternative feedstock and not for the purpose of accessing design software, design files or proprietary data; provided, however, that the exemption shall not extend to any computer program on a 3D printer that produces goods or materials for use in commerce the physical production of which is subject to legal or regulatory oversight or a related certification process, or where the circumvention is otherwise unlawful. 37 CFR §201.40(b) (9).

⁵ The exemption reads:

Computer programs that are contained in and control the functioning of a motorized land vehicle such as a personal automobile, commercial motor vehicle or mechanized agricultural vehicle, except for computer programs primarily designed for the control of telematics or entertainment systems for such vehicle, when circumvention is a necessary step undertaken by the authorized owner of the vehicle to allow the diagnosis, repair or lawful modification of a vehicle function; and where such circumvention does not constitute a violation of applicable law, including without limitation regulations promulgated by the Department of Transportation or the

While it seems clear that section 1201 should not be used to protect a manufacturer of consumer products against competition in the repair or supply of materials used in conjunction with that product, in the recent proceeding, health and safety concerns were cited as potential adverse consequences of allowing circumvention of technological controls that protect, for example, emissions controls on automobiles. While these may be legitimate concerns, they are not within the expertise or jurisdiction of the Copyright Office. The Office handled these issues appropriately, by notifying the relevant federal agencies and granting certain exemptions with a year's delay before they go into effect, to give the relevant agencies time to take action if they deem it appropriate.

A fundamental question is whether circumvention of access controls that protect primarily functional products rather than expressive works should continue to be addressed in the rulemaking process, or whether a permanent exemption should be adopted. In light of the various considerations reflected in these exemptions and others related to circumvention of protections on software that governs primarily functional products that were granted in the most recent rulemaking, we believe it is premature to try to formulate a permanent exemption now.

3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

In light of the demands that section 1201 places on the proponents of an exception and on the Copyright Office itself, some adjustment to the rulemaking process may be warranted. Rather than the Copyright Office simply presuming that a previously granted exception should be renewed, however, a proponent of the exemption should be required to file a simple request for renewal, affirming that the exemption is still warranted and that there have been no material substantive changes in the circumstances that supported the earlier determination to grant an exemption.⁶ A party who opposes the exemption would have the obligation to come forth with

Environmental Protection Agency; and provided, however, that such circumvention is initiated no earlier than 12 months after the effective date of this regulation. *Id.* §201.40(b) (6).

⁶ Requiring a proponent of the exemption (who need not be the original proponent) to come forward with a simple filing requesting the exemption and indicating that it is relying on the earlier record: (1) seems to better comport with the Administrative Procedure Act (see our response to Question 4), and (2) eliminates the possibility of leaving on the books numerous exemptions that have become completely irrelevant to the stakeholders. It is possible that these concerns might be satisfied in other ways.

evidence that there has been a change in circumstances, e.g., evidence that there is greater ability to make fair uses without circumvention than there was when the earlier exemption was granted, or evidence that the circumvention of technological access controls is having an adverse effect on the market for or value of copyrighted works. At that point, the Copyright Office should consider the application for the exemption *de novo*, and the burden of proof should be on the proponent.

4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

Currently, proponents of an exemption must demonstrate that they “are, or are likely to be in the succeeding 3-year period, adversely affected by the prohibition [on circumvention of technological measures that control access to copyrighted works] in their ability to make noninfringing uses under [Title 17] of a particular class of copyrighted works.” 17 U.S.C. §1201(a)(1)(C). As a practical matter, the proponent of an exemption must identify the class of works for which the exemption is sought, demonstrate that the uses for which the exemption is sought are or are likely to be noninfringing, and that the technological access control measure is diminishing the ability to use these works in an otherwise lawful manner. Consistent with the Administrative Procedure Act, 5 U.S.C. § 556 (d),⁷ the Office has placed the burden of proof on the proponent of the exemption.

Section 556 (d) is a default rule and can be altered,⁸ and we are aware that the Breaking Down Barriers to Innovation Act of 2015⁹ would amend section 1201 to shift the burden away from the proponents of an exemption. However, the current procedure appears to be working reasonably well, as demonstrated by the success of proponents of exemptions in the last rulemaking. Changing the burden of proof is unwarranted, and granting the Librarian discretion to conduct rulemakings outside the triennial process (another provision of the Breaking Down Barriers to Innovation Act), would overburden the Copyright Office and the stakeholders, and lead to confusion. In short, we don’t recommend altering the requirements at this time, but we

⁷ 5 U.S.C. § 556 (d) provides: “Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”

⁸ See *id.*

⁹ See H.R. 1883, 114th Cong. (2015); S. 990, 114th Cong. (2015).

will review other comments filed in this proceeding to determine whether changes may be warranted.

5. Please provide additional suggestions to improve the rulemaking process.

Our principal suggestion for improving the rulemaking process is contained in our response to Question 3, above. In the Sixth Triennial Proceeding, the Copyright Office reorganized the procedures for the rulemaking, so that proponents first filed petitions for proposed exemptions containing the basic elements of the exemptions, and then the Copyright Office grouped the proposed exemptions into categories and sought comments thereon. This “administrative streamlining” benefited the rulemaking process and should be retained. This does not necessitate a statutory amendment, however.

6. Please assess the role of the antitrafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.

The anti-trafficking provisions in section 1201 are critical to the overall scheme of protecting technological controls against circumvention. Almost any technological protection measure can be broken, so without the ban against trafficking, circumvention devices useable by even the most technology-challenged of consumers would undoubtedly be readily available, and TPMs would be largely ineffective. Any changes to the anti-trafficking provisions should be approached with great caution, as discussed below.

7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the antitrafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

In some circumstances individuals or organizations have the right but not the ability to circumvent access controls on copyrighted works. We suspect that this occurs less frequently than it might appear on the surface, as in many cases circumvention tools are available (e.g., for DVDs) and in other cases, it can be assumed that the beneficiaries of the exception have the technical expertise to circumvent (e.g., where the underlying work is sought for the purpose of

reverse engineering). Nevertheless, there are circumstances in which the beneficiaries of an exemption lack the technical expertise to circumvent access controls.

We urge that the ban on trafficking in anti-circumvention *devices* should not be modified. The Copyright Office defines exemptions not only by type of work but by type of use. Devices capable of circumventing particular technological controls can perform this function regardless of the use to which the clear copy may be put. Once a circumvention device is on the market, it will be readily available to anyone who wants to circumvent, not just to those who have a valid purpose.

Accordingly, other alternatives for making works available free of encryption should be explored. One possibility would be to permit circumvention services, subject to who can decrypt for another and under what conditions, so that circumvention services would be allowed only in limited circumstances. Another might be to permit circumvention but only after providing the right holders of the relevant copyrighted works an opportunity to make them available for the permitted uses.¹⁰

To the extent that beneficiaries of exemptions are permitted to seek circumvention services, it should be the Copyright Office that makes that determination, as part of the rulemaking process. The Office can determine whether such a provision is warranted, and fashion an appropriate solution. Ultimately, it can provide a more nuanced solution directed to the particular circumstances for which circumvention is sought.

8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?

We are not in a position to judge the current state of reverse engineering, encryption research or security testing. With respect to libraries, archives and educational institutions, it appears that commentators' suggestion that the current permanent exemption contained at section 1201 (d) is "woefully inadequate"¹¹ is not borne out by the evidentiary record.

¹⁰ See June M. Besek, *Anti-Circumvention Laws and Copyright: A Report from the Kernochan Center for Law, Media and the Arts*, 27 COLUM. J. L. & ARTS 385, 491-96 (2004).

¹¹ Pan C. Lee et al., Samuelson Law, Technology & Public Policy Clinic, University of California, Berkeley School of Law, on behalf of Public Knowledge, *Updating 17 U.S.C. 1201 for Innovators*,

The number of exemptions requested by libraries and affiliated associations¹² during the sixth triennial rulemaking represents the high water mark for requests by libraries in the triennial rulemaking process (those requests are discussed below). An examination of all six rulemaking proceedings indicates that the perceived inadequacy of section 1201 (d) is overstated. Presumably, a deficient statutory structure triggering the need for a broader permanent exemption would force libraries to consistently and repeatedly request numerous new exemptions and renewals every three years, but that has not been the case.

Libraries and affiliated associations have remained active participants in the triennial rulemaking process, but not to the extent that demonstrates a need to expand the permanent exemption contained in section 1201 (d). For example, in the fifth triennial rulemaking the Library Copyright Alliance (LCA) requested renewal of only one exemption, that for use of short portions of motion pictures. During the sixth triennial rulemaking, the LCA requested renewal of the previous motion picture exemption, but requested broadening it to include new storage technologies, such as Blu-Ray. This request was ultimately recommended by the Register.¹³ Therefore, contrary to the assertion that the current statutory structure is inadequate, it would appear that the triennial rulemaking process is not only used by libraries to a limited extent, but also that it is in fact functioning consistently with legislative intent by enabling libraries to keep the Copyright Office and the Register apprised of changing technologies and the changing needs of users.

Moreover, many of the exemptions requested by associations such as the Music Library Association (MLA) in the sixth triennial rulemaking were declined based on insufficient records. For example, the MLA requested broad exemptions for audiovisual and literary works for the purpose of noncommercial space-shifting or format-shifting. The Register found that based on the record, it was not conclusive that the activities were “noninfringing, or that the prohibition on

Creators, and Consumers in the Digital Age 52 (2010),
https://www.publicknowledge.org/assets/uploads/2_Circumvention.pdf.

¹² For the purpose of this response we focus primarily on nonprofit libraries and archives. Educational institutions have been regular participants in the rulemaking proceedings and have been successful in obtaining a number of exemptions. Those exemptions, which have been very fact-based, do not easily lend themselves to permanent exemptions, and currently the rulemaking proceeding (modified as discussed above) seems like a more appropriate means of seeking and granting educational exemptions.

¹³ U.S. Copyright Office, Section 1201 Rulemaking: Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention, Recommendation of the Register of Copyrights 103-06 (2015), <http://copyright.gov/1201/2015/registerrecommendation.pdf>.

circumvention has, or is likely to have, an adverse impact on noninfringing uses of the underlying works.”¹⁴ A record that is insufficient to support an exemption in the triennial rulemaking process is equally insufficient to support broadening the existing permanent exemption.

We recognize, however, that the needs of nonprofit libraries and archives, the nature of technological protection and the scope of copyright exceptions continue to evolve. Accordingly, the record of future rulemakings may demonstrate a need to revisit the permanent exemption for libraries.

9. Please assess whether there are other permanent exemption categories that Congress should consider establishing – for example, to facilitate access to literary works by print-disabled persons.

Congress should consider an appropriately drafted permanent exemption to facilitate access to literary works by print-disabled persons. The history of the triennial rulemaking indicates that this is an exemption that has been regularly sought and granted, and there are strong public policy reasons for raising it to the level of a permanent exemption.

With respect to additional new permanent exemptions, we refer to our discussion above concerning broadening the exemption for libraries. Where the records of previous rulemaking proceedings indicate that the potential beneficiaries have not sought an exemption in the past, or sought it but failed to provide sufficient evidence to justify it, there is insufficient basis to create a new permanent exemption.

We do not, however, suggest that every exemption that has been granted in past rulemaking proceedings should become a permanent exemption. Doing so would minimize flexibility and make it difficult to alter the scope of the exemption as circumstances change. It is clear that in some areas, technology, distribution methods and the means available to access copyrighted works are changing rapidly. Also, some of the exemptions contain detailed conditions that are better suited to regulations than to incorporation into section 1201 as permanent exemptions. Streamlining the process for seeking exemptions and allowing a party to rely on the record of a prior rulemaking, discussed elsewhere, should make the process of getting exemptions easier.

¹⁴ *Id.* at 126.

10. To what extent and how might any proposed amendments to section 1201 implicate the United States' trade and treaty obligations?

The extent to which any proposed amendments would implicate US trade and treaty obligations depends in large part on the nature of the proposal. The WIPO Copyright Treaty provides:

Contracting Parties shall provide adequate legal protection and effective legal remedies against the circumvention of effective technological measures that are used by authors in connection with the exercise of their rights under this Treaty or the Berne Convention and that restrict acts, in respect of their works, which are not authorized by the authors concerned or permitted by law.¹⁵

There are strong arguments to be made that the fundamental structure of section 1201 – that is, protection against circumvention of access controls, and anti-trafficking provisions – is necessary to provide “adequate legal protection and effective legal remedies” for technological measures used by authors in connection with their works.¹⁶ But at the same time, it is clear that the WIPO Copyright Treaty allows contracting parties some latitude with respect to the specific terms of their legislation, as long as they effectively implement this provision. So there is room for the United States to make minor amendments to its legislation and remain consistent with the WIPO treaties, as long as it maintains adequate and effective protection against circumvention.

Some of the bilateral trade agreements that the US has with other countries detail with specificity obligations with respect to technological protection in a way that tracks the U.S. statute. See, e.g., the U.S.-Colombia Agreement, art. 16.7 (4) (2006), available at <https://ustr.gov/trade-agreements/free-trade-agreements/colombia-fta/final-text>, which largely tracks the obligations and limitations and exceptions of section 1201. For example, subsection (f) of that provision allows the parties to provide additional exceptions and limitations for:

Noninfringing uses of a work, performance, or phonogram, in a particular class of works, performances, or phonograms, provided that any exception or limitation

¹⁵ WIPO Copyright Treaty, art. 11, Dec. 20, 1996, 36 I.L.M. 65 (1997), available at http://www.wipo.int/treaties/en/text.jsp?file_id=295166#P87_12240. The WIPO Performances and Phonograms Treaty has a similar provision. WIPO Performances and Phonograms Treaty, art. 18, Dec. 20, 1996, 36 I.L.M. 76 (1997), available at http://www.wipo.int/treaties/en/text.jsp?file_id=295577.

¹⁶ II Sam Ricketson and Jane C. Ginsburg, *International Copyright and Neighbouring Rights* 15.10-15.21 (2d ed. Oxford Univ. Press 2006).

adopted in reliance on this subparagraph shall be based on the existence of substantial evidence, as found in a legislative or administrative proceeding, of an actual or likely adverse impact on those noninfringing uses; and provided further that a review of such finding, conducted in an administrative or legislative proceeding, shall be completed at intervals of not more than four years to determine whether there still exists substantial evidence of an actual or likely adverse impact on those noninfringing uses.

The agreement also largely tracks the permanent exemptions in section 1201. Any substantial change in the exemptions provided in section 1201, or to the rulemaking proceeding, could theoretically impact US obligations under this and similar agreements. See also U.S. Chile Free Trade Agreement 17 (5) (2004), available at <https://ustr.gov/trade-agreements/free-trade-agreements/chile-fta/final-text>. Not all such changes would necessarily do so, but any proposed exemption would have to be considered in light of the terms of these agreements.

11. Please identify any pertinent issues not referenced above that the Copyright Office should consider in conducting the study.

Congress recognized that there were tradeoffs when it enacted section 1201. It was well aware that it might foster innovation in the means of content delivery at the cost of making certain noninfringing uses of copyrighted works less convenient. The benefits of that decision are obvious, but often taken for granted when permission for circumvention for particular uses is sought. Section 1201, including its exceptions and limitations, represents a balancing of interests among the various stakeholders, and the rulemaking is an important tool in refining that balance. We urge that changes to section 1201 designed to make it easier for users to legally circumvent technological access controls, or to obtain circumvention devices and services, be carefully considered in light of the fundamental goals of the statute.

Respectfully submitted,

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